



December 05, 2025

The Honorable Gavin Newsom, Governor
State of California
1021 O Street, Suite 9000
Sacramento, CA 95814

RE: Stabilize and Strengthen California's Zero-Emission Future through Near- and Long-Term GGRF Investments

Dear Governor Newsom:

California's clean transportation leadership has been defined by its willingness to innovate, invest, and stay the course. We thank the Legislature and the Administration for reauthorizing the state's Cap-and-Invest program and restoring stability to the Greenhouse Gas Reduction Fund (GGRF). Existing and future GGRF funds are the central tool for a better-managed, more affordable clean transportation transition that delivers rapid improvements in air quality and reduces GHG emissions.

Data from the California Air Resources Board (CARB) shows 90 percent of all Californians breathe unhealthy levels of air pollution each year,¹ with transportation and transportation fuels production producing roughly 80 percent of nitrogen oxide pollution, 90 percent of diesel particulate matter pollution,² and nearly half of all statewide greenhouse gas (GHG) emissions.³ This pollution is estimated to result in thousands of excess premature deaths, hospitalizations, and asthma attacks every year.

ZEV incentive programs have created over 200,000 clean transportation jobs and attracted over 60 ZEV and ZEV-related firms to invest in and base their operations here in California. These economic impacts are complemented by the widespread success that such incentive programs have had in encouraging the

¹ California Air Resources Board, "[Health & Air Pollution](#)."

² California Energy Commission, "[Transforming Transportation](#)."

³ California Air Resources Board, "[California Greenhouse Gas Emissions from 2000 to 2021: Trends of Emissions and Other Indicators](#)."

adoption of cleaner vehicles, helping to put nearly 2.5 million passenger ZEVs⁴ and over 27,000 zero-emission medium- and heavy-duty trucks on our roads⁵ – the largest ZEV fleet in the nation. These successes have helped to reduce transportation-related GHG emissions by approximately 14 percent since 2017, as more residents and businesses gain access to ZEVs.⁶

CARB's analysis indicates that sustained public-interest investment is essential to maintain market momentum and continue attracting private capital. Across its portfolio of programs, CARB estimates that approximately \$1.5 billion in incentive funding will be required annually for at least the next five years to keep California on track. The industry agrees: this is the level of needed investment to scale ZEV deployment to meet state climate, air-quality, and economic-competitiveness goals.⁷

Yet today, the ZEV market faces significant uncertainty. The expiration of the federal EV tax credit, the easing of national air-quality and fuel-economy standards, and challenges to state authority are chilling private investment and softening consumer demand. Automakers have paused or canceled EV models, major facilities have announced layoffs, and confidence in the market has weakened. California cannot afford to let its ZEV market—and the jobs, innovation, and community benefits it delivers—lose momentum.

Even in the face of budget constraints, now is the time to stabilize the market and modernize the GGRF framework, sending a clear long-term signal that California, the birthplace of ZEV innovation, remains committed to zero-emission transportation. Recognizing that current GGRF revenues cannot meet the full \$1.5 billion need today, we also urge the state to explore bold, sustainable revenue options to support required investment levels as the program grows.

In this budget, the \$775 million investment represents a meaningful commitment to maintaining program continuity and preventing backsliding—while establishing a path to reach the full \$1.5 billion annual need as GGRF revenues increase. The industry recommends allocating these funds across five core investment areas:

Medium- and Heavy-Duty Vehicles – \$365 million

Support for the continued deployment of zero-emission trucks, buses, school buses, drayage, and off-road/port equipment across California's economy. This investment maintains momentum in the state's highest-polluting sectors, protects critical clean-manufacturing and maintenance jobs, and keeps California competitive as global markets accelerate ZEV freight production. Funding would allow for the continuation of proven CARB programs, including the Hybrid and Zero-Emission Truck and Bus Voucher Incentive Project (HVIP)—covering both standard and transit HVIP—the Zero-Emission School Bus and Infrastructure Program (ZESBI), the Clean Off-Road Equipment Voucher Incentive Project (CORE), and the emerging Zero-Emission Ports (ZE Ports) program.

⁴ California Energy Commission, "[New ZEV Sales in California](#)."

⁵ California Air Resources Board, "[1 in 6 new trucks, buses, and vans in California are zero-emission](#)."

⁶ California Air Resources Board, "[California Greenhouse Gas Emissions from 2000 to 2021: Trends of Emissions and Other Indicators](#)."

⁷ California Air Resources Board, "[Drive Forward Incentives Public Workshop](#)", November 13, 2025

Light-Duty Vehicles Incentives – \$200 million

Consumer-focused rebates that reach car-buyers across the market to defray the loss of federal credits, sustain consumer demand, and expand access to affordable ZEVs statewide. These incentives drive volume in the new and emerging used-EV market, reduce household transportation costs, and keep momentum in a sector facing production slowdowns and model withdrawals at a time when adoption is approaching a tipping point.⁸

Clean Vehicle Infrastructure, All Duty Levels – \$135 million

Funding should be directed to the CEC's Clean Transportation Program to strategically deploy charging and refueling infrastructure across light-, medium-, and heavy-duty sectors in direct coordination with CARB's vehicle investment needs and the CEC's market analysis. This would build on proven programs such as CALeVIP and EnergIZE Commercial Vehicles to expand public, multi-family, workplace, depot, and port-power infrastructure in ways that accelerate fleet transition, avoid stranded assets, strengthen utility planning for large load centers, improve reliability and coverage, and ensure California's infrastructure network keeps pace with rapid ZEV deployment. There are limited sources of medium- and heavy-duty ZEV infrastructure funding outside of the CEC's Clean Transportation Program.

Community-Based and Equity Mobility Programs – \$75 million

Funding for neighborhood-scale mobility projects and clean-transportation access in disadvantaged and underserved communities through CARB's Clean Cars 4 All, Driving Clean Assistance Program (DCAP), Sustainable Communities, and Clean Mobility Programs. These investments provide tangible local benefits—such as electric car-share, micro-transit, and e-bike access—while helping households replace the oldest, most polluting vehicles and improving transportation affordability in communities that bear the greatest health burden from fossil-fuel emissions.

Coupled with multi-year GGRF commitments outlined in SB 840 (Limon, 2025), this approach provides a clear path to a better-managed and more affordable clean transportation transition.

Sincerely,

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⁸The Clean Vehicle Rebate Project (CVRP), which was funded at approximately \$200 million per year from 2017 onwards, provided cost-effective equity benefits at scale, despite being a mass market program. In the last year of the program, CVRP provided an estimated \$174 million (approximately 60% of annual funding) to approximately 47,000 individuals with household incomes below \$100,000.⁹

⁹ Williams, B. D. H. (2025, Apr.). ["Assessing Progress Toward Equitable Access to EVs with Incentive Program Metrics: Lessons Learned from CVRP and NY DCRP Using Program Data and Baselines of Comparison"](http://dx.doi.org/10.13140/RG.2.2.15850.22724). CARB 2025 Clean Transportation Equity Incentives Symposium. <http://dx.doi.org/10.13140/RG.2.2.15850.22724>.

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